APPRAISAL REPORT

Northgate Station District | Buffalo, NY

Subject Property	Northgate Station District
Address	3432 Maple Parkway, Buffalo, NY 44709
Property Rights Appraised	Fee Simple
Effective Date of Value	June 15, 2020
Market Value Conclusion	$139,430,000

Submarket Analysis

Market vacancy for comparable Mixed-Use product stands at 4.7%, down from 4.7% two years ago. Median household income within a 4-mile radius of the property is approximately $39,000 and has grown 13.4% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. The Buffalo Mixed-Use market has experienced absorption of 1600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 6-mile radius of the property is approximately $264,000 and has grown 13.6% annually. The property is walkable to transit, with 48 structured parking spaces shared between uses.

Site Description

The site contains approximately 28.28 acres and is generally level with frontage along Maple Parkway. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

The site contains approximately 18.18 acres and is generally level with frontage along Maple Parkway. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 46 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Supply and Demand

Median household income within a 8-mile radius of the property is approximately $106,000 and has grown 10.5% annually. The Buffalo Mixed-Use market has experienced absorption of 200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Employment growth is led by healthcare, logistics, education and professional services sectors.

Market vacancy for comparable Mixed-Use product stands at 8.2%, down from 7.1% two years ago. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 6 structured parking spaces shared between uses. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 6.9% annually over the past 7 years.

Topography and Flood Zone

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 5 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Access to the site is provided by 31 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 12.12 acres and is generally level with frontage along Maple Parkway. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Market Overview

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Demographics and Employment

Employment growth is led by healthcare, logistics, education and professional services sectors. Northgate Station District is located in Buffalo, NY, a market that has recorded 11.3% population growth over the last five years. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 6.46% and 6.46%. The property is walkable to transit, with 17 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Northgate Station District is located in Buffalo, NY, a market that has recorded 7.1% population growth over the last five years. Median household income within a 6-mile radius of the property is approximately $118,000 and has grown 12.6% annually. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Access and Utilities

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 27 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 7.7 acres and is generally level with frontage along Maple Parkway.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 7 curb cuts and the property is served by municipal water and sanitary sewer.

Submarket Analysis

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The Buffalo Mixed-Use market has experienced absorption of 2900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 6.83% and 6.83%. Northgate Station District is located in Buffalo, NY, a market that has recorded 9.1% population growth over the last five years. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Northgate Station District is located in Buffalo, NY, a market that has recorded 13.4% population growth over the last five years. Market vacancy for comparable Mixed-Use product stands at 8.1%, down from 3.4% two years ago. Median household income within a 7-mile radius of the property is approximately $312,000 and has grown 6.9% annually. The Buffalo Mixed-Use market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 6.30% and 6.30%.

Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 35.35 acres and is generally level with frontage along Maple Parkway. Access to the site is provided by 25 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 22 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 5.5 acres and is generally level with frontage along Maple Parkway. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Submarket Analysis

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Market vacancy for comparable Mixed-Use product stands at 9.7%, down from 3.4% two years ago. Median household income within a 4-mile radius of the property is approximately $326,000 and has grown 6.7% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 5.6% annually over the past 4 years.

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Improvements Description

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 3 years and are in average to good condition.

Common area interiors have been refreshed within the last 8 years and are in average to good condition. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 8-year membrane system with an estimated remaining useful life of 7 years.

Building Systems

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The property is walkable to transit, with 37 structured parking spaces shared between uses. Common area interiors have been refreshed within the last 12 years and are in average to good condition.

Northgate Station District was originally constructed in 1984 and consists of 365,000 SF in a building of 21 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Common area interiors have been refreshed within the last 6 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Construction Details

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Northgate Station District was originally constructed in 1984 and consists of 365,000 SF in a building of 37 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

The property is walkable to transit, with 30 structured parking spaces shared between uses. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 9-year membrane system with an estimated remaining useful life of 5 years. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Northgate Station District was originally constructed in 1984 and consists of 365,000 SF in a building of 28 stories. Mechanical systems include rooftop package units and central plant equipment of varying age.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Copper Station District	Tempe, AZ	09/18/2024	43	$135,740,902	$372	6.87%	2015
Maple Market Lofts	Allentown, PA	08/06/2023	48	$135,175,034	$370	6.85%	1980
Ridgeline Station District	Milwaukee, WI	07/30/2024	28	$152,315,927	$417	5.55%	1965
Whitaker Mixed-Use Center	Phoenix, AZ	10/30/2023	48	$65,872,635	$180	5.06%	1967
Cedar Mixed-Use Center	Austin, TX	01/23/2026	47	$89,809,228	$246	7.95%	1989
Laurel Village	Indianapolis, IN	11/15/2024	29	$167,910,628	$460	7.41%	1982
Oakmont Market Lofts	Oklahoma City, OK	10/30/2024	24	$60,854,269	$167	7.60%	2016
Redwood Market Lofts	Minneapolis, MN	12/12/2023	52	$177,202,213	$485	6.87%	2022
Dover Village	Austin, TX	12/13/2022	43	$142,430,615	$390	7.80%	2023
Ashford Market Lofts	Indianapolis, IN	08/02/2026	32	$143,025,796	$392	6.69%	1976
Palisade Mixed-Use Center	Kansas City, MO	08/18/2024	41	$179,524,131	$492	7.34%	1997
Falcon Market Lofts	Columbus, OH	05/11/2023	58	$121,509,016	$333	7.84%	2002
Eastlake Market Lofts	Memphis, TN	05/17/2026	21	$122,386,478	$335	7.66%	1967
Hawthorne Market Lofts	Hartford, CT	06/21/2022	29	$140,872,829	$386	7.18%	2000
Ironwood Market Lofts	Nashville, TN	03/12/2024	25	$92,105,668	$252	6.74%	2012
Zephyr Station District	Tampa, FL	03/16/2024	48	$107,177,579	$294	7.45%	2008
Keystone Mixed-Use Center	Salt Lake City, UT	03/29/2025	22	$141,293,377	$387	6.84%	1998
Eastlake Mixed-Use Center	Dallas, TX	06/10/2023	36	$126,725,537	$347	7.74%	2015
Kestrel Market Lofts	Omaha, NE	07/28/2025	32	$127,603,579	$350	6.42%	2006
Union Station District	Jacksonville, FL	04/11/2026	33	$82,795,396	$227	5.07%	1975
Banyan Village	Memphis, TN	04/26/2022	51	$121,720,506	$333	7.11%	1979
Cedar Village	Boise, ID	01/30/2022	29	$152,782,512	$419	6.46%	1983
Elmhurst Station District	Tampa, FL	01/11/2025	43	$183,801,882	$504	6.11%	1968
Foxglove Station District	Kansas City, MO	01/06/2026	29	$149,372,593	$409	7.14%	1995
Summit Station District	Milwaukee, WI	11/05/2023	26	$97,683,582	$268	8.16%	2014
Crestline Mixed-Use Center	Pittsburgh, PA	06/02/2023	27	$170,885,758	$468	5.45%	1984
Dunmore Station District	Louisville, KY	03/28/2023	52	$113,581,541	$311	6.47%	2001
Dover Mixed-Use Center	Tampa, FL	04/18/2024	32	$75,792,812	$208	6.33%	1970
Cypress Market Lofts	Greenville, SC	04/09/2022	22	$78,232,145	$214	7.54%	2019
Hollis Village	Milwaukee, WI	03/09/2026	57	$136,895,632	$375	7.79%	2023
Falcon Station District	St. Louis, MO	06/28/2026	56	$167,222,643	$458	6.67%	2022
Ashford Village	Sacramento, CA	08/10/2026	40	$109,903,841	$301	5.33%	1977
Ironwood Village	Dallas, TX	06/24/2022	25	$69,693,387	$191	6.05%	2002
Windmill Market Lofts	Savannah, GA	01/16/2025	58	$59,469,998	$163	5.91%	2023
Foxglove Station District	Pittsburgh, PA	07/27/2022	38	$136,735,948	$375	6.20%	2006
Meridian Mixed-Use Center	Philadelphia, PA	09/20/2025	44	$143,228,865	$392	5.50%	1992
Windmill Village	Allentown, PA	07/30/2025	31	$89,443,772	$245	7.27%	1986
Fairmont Village	Milwaukee, WI	04/25/2026	22	$179,136,623	$491	7.38%	2017
Magnolia Mixed-Use Center	Nashville, TN	10/25/2025	57	$71,472,324	$196	7.58%	1974
Orchard Mixed-Use Center	Columbus, OH	06/27/2025	32	$138,058,117	$378	6.93%	1966
Laurel Station District	Savannah, GA	05/15/2023	28	$66,466,964	$182	5.08%	2003
Sterling Village	Salt Lake City, UT	02/11/2025	47	$185,937,046	$509	6.05%	2023

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Financial Analysis

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Operating expenses totaled $277,000 or approximately 47.79 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Effective gross income for the trailing period was $74,000, representing a 10.7% increase over the prior year. The property is walkable to transit, with 39 structured parking spaces shared between uses.

The property is walkable to transit, with 43 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $165,000, representing a 2.3% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period.

Income and Expense Review

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Operating expenses totaled $346,000 or approximately 21.17 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 2 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

The going-in capitalization rate of 8.15% reflects the in-place income and the stabilized occupancy assumption. The property is walkable to transit, with 39 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period.

Operating Performance

Effective gross income for the trailing period was $74,000, representing a 13.9% increase over the prior year. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.37% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period.

Management fees are calculated at 7.0% of collected revenue and are included in operating expenses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Quincy Station District	0.4 mi	2017	1BR	$31.47	90.1%	None
Saddlebrook Station District	2.7 mi	1981	Inline	$32.19	94.8%	None
Kingsley Market Lofts	2.9 mi	2017	Unit	$28.19	96.7%	None
Quarry Mixed-Use Center	4.8 mi	1996	Studio	$26.76	90.9%	$500
Birchwood Market Lofts	2.0 mi	2016	Unit	$32.01	88.5%	1 mo. free
Pinecrest Mixed-Use Center	0.9 mi	2013	Bay	$26.66	87.4%	None
Granite Market Lofts	4.8 mi	1991	Bay	$25.69	89.8%	None
Union Mixed-Use Center	0.9 mi	1994	1BR	$30.75	96.5%	$500
Amberly Market Lofts	4.1 mi	2015	2BR	$29.58	93.5%	None
Union Market Lofts	2.3 mi	2007	Unit	$30.54	90.9%	None
Jasper Mixed-Use Center	1.7 mi	1974	1BR	$29.49	87.1%	None
Ivy Market Lofts	1.9 mi	2003	Suite	$24.18	97.7%	$500
Summit Mixed-Use Center	0.8 mi	2007	Studio	$27.32	86.6%	$500
Timberline Station District	2.2 mi	2020	Studio	$26.07	94.6%	$500
Copper Station District	4.4 mi	1998	Unit	$25.89	92.7%	None
Lockwood Station District	0.5 mi	1984	2BR	$24.72	88.5%	$500
Lakeshore Mixed-Use Center	3.7 mi	1985	Inline	$29.32	89.5%	None
Vista Station District	4.4 mi	2022	Unit	$30.63	94.7%	$500
Driftwood Station District	0.6 mi	2001	2BR	$32.27	96.1%	None
Bluestone Village	1.4 mi	1971	Studio	$26.89	92.5%	None
Ivy Mixed-Use Center	2.5 mi	2015	Inline	$30.80	91.1%	$500
Lockwood Village	0.5 mi	1985	Unit	$27.48	90.9%	1 mo. free
Kestrel Station District	4.3 mi	2012	Inline	$28.14	89.7%	1 mo. free
Raven Station District	3.7 mi	1974	1BR	$26.25	93.2%	None
Cobalt Village	0.7 mi	1989	Studio	$26.45	95.0%	$500
Pelican Station District	4.6 mi	1981	2BR	$31.99	94.3%	$500
Alder Station District	3.3 mi	1999	Suite	$26.23	97.4%	1 mo. free
Kestrel Mixed-Use Center	1.8 mi	1972	Inline	$31.31	92.9%	None
Bluestone Village	1.0 mi	1988	Unit	$31.88	95.2%	$500
Glenview Station District	5.0 mi	2015	2BR	$25.25	95.7%	None
Copper Market Lofts	2.5 mi	2020	Bay	$24.24	96.5%	None
Willow Village	4.5 mi	2005	Studio	$24.93	88.5%	$500
Calloway Market Lofts	4.8 mi	1986	Inline	$27.38	94.3%	$500
Summit Station District	2.7 mi	1996	Studio	$24.44	88.8%	$500
Cobalt Station District	3.2 mi	2000	Inline	$30.37	93.9%	$500
Kestrel Village	4.4 mi	2019	Studio	$26.66	88.9%	1 mo. free
Ashford Market Lofts	4.3 mi	1974	Inline	$24.65	94.5%	None
Northgate Market Lofts	3.9 mi	1973	1BR	$28.30	91.5%	None
Vista Market Lofts	4.4 mi	1970	2BR	$29.48	92.4%	$500
Garnet Mixed-Use Center	1.4 mi	2009	Suite	$26.54	91.5%	1 mo. free
Palisade Village	1.5 mi	2012	Studio	$32.10	94.2%	1 mo. free

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Demographics and Employment

Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 6.84% and 6.84%. Rent growth in the submarket has averaged 7.2% annually over the past 9 years. Median household income within a 2-mile radius of the property is approximately $335,000 and has grown 13.1% annually. Northgate Station District is located in Buffalo, NY, a market that has recorded 12.6% population growth over the last five years. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Market vacancy for comparable Mixed-Use product stands at 10.9%, down from 5.8% two years ago.

Median household income within a 3-mile radius of the property is approximately $468,000 and has grown 13.1% annually. The property is walkable to transit, with 18 structured parking spaces shared between uses. The Buffalo Mixed-Use market has experienced absorption of 3500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Mixed-Use product stands at 13.5%, down from 4.0% two years ago.

Access and Utilities

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 37.37 acres and is generally level with frontage along Maple Parkway. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 28 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 25.25 acres and is generally level with frontage along Maple Parkway. Access to the site is provided by 34 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Supply and Demand

Rent growth in the submarket has averaged 5.1% annually over the past 9 years. The Buffalo Mixed-Use market has experienced absorption of 900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The property is walkable to transit, with 22 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

The Buffalo Mixed-Use market has experienced absorption of 3100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Mixed-Use product stands at 3.5%, down from 3.0% two years ago. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 7.49% and 7.49%. Northgate Station District is located in Buffalo, NY, a market that has recorded 4.6% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Access and Utilities

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 37.37 acres and is generally level with frontage along Maple Parkway.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 32 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 24.24 acres and is generally level with frontage along Maple Parkway.

Supply and Demand

Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The Buffalo Mixed-Use market has experienced absorption of 200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

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Building Systems

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 45 structured parking spaces shared between uses.

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 31-year membrane system with an estimated remaining useful life of 9 years. The property is walkable to transit, with 20 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Building Systems

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 44 structured parking spaces shared between uses. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Mechanical systems include rooftop package units and central plant equipment of varying age. Common area interiors have been refreshed within the last 4 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 37 structured parking spaces shared between uses.

Building Systems

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Common area interiors have been refreshed within the last 3 years and are in average to good condition. The roof is a 17-year membrane system with an estimated remaining useful life of 11 years. Northgate Station District was originally constructed in 1984 and consists of 365,000 SF in a building of 11 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The property is walkable to transit, with 34 structured parking spaces shared between uses. Northgate Station District was originally constructed in 1984 and consists of 365,000 SF in a building of 28 stories.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Westgate Market Lofts	Pittsburgh, PA	08/30/2023	49	$66,795,105	$183	6.51%	1976
Verde Market Lofts	Orlando, FL	12/26/2024	51	$173,007,334	$474	5.29%	1967
Kestrel Village	Albuquerque, NM	08/20/2024	29	$168,262,855	$461	5.21%	2013
Tidewater Mixed-Use Center	Charlotte, NC	05/22/2022	39	$131,205,401	$359	7.88%	1973
Alder Market Lofts	Portland, OR	03/05/2023	50	$190,134,671	$521	6.22%	1979
Copper Mixed-Use Center	San Antonio, TX	08/27/2024	23	$172,154,512	$472	8.17%	1981
Eastlake Village	Naperville, IL	07/14/2025	22	$102,897,050	$282	7.76%	1980
Lakeshore Market Lofts	Birmingham, AL	03/17/2026	34	$56,315,642	$154	6.18%	1968
Lakeshore Station District	Richmond, VA	04/15/2024	54	$122,754,347	$336	7.55%	2010
Falcon Station District	Birmingham, AL	11/23/2024	31	$90,988,635	$249	5.39%	2011
Crestline Station District	Raleigh, NC	08/31/2026	45	$194,723,429	$533	5.73%	1988
Aspen Station District	Albuquerque, NM	03/14/2025	59	$93,567,451	$256	6.44%	1979
Quincy Mixed-Use Center	Louisville, KY	05/17/2026	22	$145,369,859	$398	6.99%	1984
Kingsley Village	Minneapolis, MN	10/03/2023	25	$161,892,980	$444	6.76%	2013
Cedar Mixed-Use Center	Sacramento, CA	12/27/2022	23	$63,674,260	$174	5.72%	1982
Saddlebrook Market Lofts	St. Louis, MO	06/16/2025	41	$102,661,917	$281	5.30%	2016
Valley Mixed-Use Center	Aurora, CO	08/10/2024	59	$169,914,140	$466	7.47%	1968
Willow Market Lofts	New Orleans, LA	09/10/2023	27	$80,665,267	$221	6.58%	2016
Bayview Market Lofts	Des Moines, IA	06/30/2023	42	$153,400,307	$420	5.62%	1967
Kingsley Market Lofts	Pittsburgh, PA	04/06/2025	41	$85,912,223	$235	6.67%	1990
Stonebridge Market Lofts	Raleigh, NC	05/22/2025	59	$181,443,401	$497	7.44%	2017
Birchwood Market Lofts	Buffalo, NY	04/09/2025	26	$119,542,993	$328	5.88%	1978
Northgate Market Lofts	Cincinnati, OH	09/16/2025	36	$71,784,815	$197	5.21%	1995
Pelican Station District	Pittsburgh, PA	12/02/2022	30	$114,338,704	$313	5.83%	2016
Sterling Market Lofts	Oklahoma City, OK	06/04/2025	21	$131,049,479	$359	6.91%	1975
Windmill Village	Albany, NY	01/25/2022	49	$168,752,609	$462	6.89%	2002
Driftwood Station District	Allentown, PA	01/06/2024	46	$150,364,896	$412	5.35%	1976
Heritage Mixed-Use Center	Newark, NJ	12/26/2025	40	$64,666,237	$177	5.11%	2010
Indigo Station District	Allentown, PA	09/01/2022	53	$121,437,848	$333	5.83%	1995
Sterling Station District	Sacramento, CA	09/17/2023	52	$75,156,056	$206	5.04%	1987
Quincy Market Lofts	Las Vegas, NV	01/16/2025	55	$194,629,041	$533	6.03%	1967
Bluestone Station District	Milwaukee, WI	12/12/2024	41	$108,690,239	$298	7.26%	2018
Everett Market Lofts	Raleigh, NC	10/06/2022	59	$57,031,057	$156	6.64%	1969
Valley Station District	Minneapolis, MN	12/08/2023	35	$156,953,580	$430	5.11%	1997
Copper Market Lofts	Hartford, CT	08/14/2023	34	$140,879,137	$386	8.02%	1978
Birchwood Market Lofts	Salt Lake City, UT	07/31/2026	43	$96,303,896	$264	7.85%	1993
Kestrel Village	Naperville, IL	07/09/2024	30	$101,133,674	$277	6.73%	1981
Indigo Market Lofts	Phoenix, AZ	01/21/2024	48	$56,025,797	$153	8.17%	2018
Glenview Market Lofts	Boise, ID	05/18/2023	28	$87,729,335	$240	6.92%	1995
Bluestone Village	Riverside, CA	08/17/2025	40	$122,664,356	$336	6.38%	1977
Ashford Mixed-Use Center	Salt Lake City, UT	04/07/2025	32	$189,995,226	$521	7.63%	1985

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Valuation Discussion

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Debt service coverage ratio was 5.16x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $276,000 or approximately 28.96 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 15 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period.

Operating expenses totaled $418,000 or approximately 22.88 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 14 structured parking spaces shared between uses. Debt service coverage ratio was 7.79x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.0% of collected revenue and are included in operating expenses.

Valuation Discussion

Effective gross income for the trailing period was $241,000, representing a 10.8% increase over the prior year. Debt service coverage ratio was 5.73x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $317,000, representing a 10.8% increase over the prior year. Debt service coverage ratio was 5.11x on a trailing basis against a covenant minimum of 1.20x. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Valuation Discussion

Debt service coverage ratio was 5.80x on a trailing basis against a covenant minimum of 1.20x. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The property is walkable to transit, with 13 structured parking spaces shared between uses. Debt service coverage ratio was 6.13x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $139,000, representing a 6.4% increase over the prior year. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.72% reflects the in-place income and the stabilized occupancy assumption.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Birchwood Village	0.2 mi	1979	Suite	$26.43	89.7%	None
Sable Mixed-Use Center	3.5 mi	2013	Bay	$24.62	91.3%	$500
Saddlebrook Village	4.3 mi	1971	1BR	$28.20	87.2%	None
Glenview Station District	1.5 mi	2021	2BR	$26.17	91.5%	1 mo. free
Timberline Mixed-Use Center	1.6 mi	1985	Bay	$29.14	89.3%	None
Hollis Market Lofts	4.1 mi	2004	Unit	$24.88	92.7%	$500
Eastlake Market Lofts	3.4 mi	2007	Unit	$28.48	87.2%	None
Birchwood Village	4.5 mi	1978	Inline	$26.19	91.4%	None
Riverbend Market Lofts	2.1 mi	1997	2BR	$26.92	93.3%	None
Banyan Market Lofts	0.4 mi	1987	2BR	$23.17	93.4%	$500
Lakeshore Village	0.6 mi	1976	Bay	$26.69	86.5%	None
Thornton Station District	2.1 mi	2008	Unit	$28.74	95.6%	1 mo. free
Dunmore Mixed-Use Center	1.5 mi	1971	Bay	$25.49	93.8%	1 mo. free
Wexford Village	4.5 mi	1987	Unit	$32.23	88.0%	None
Birchwood Station District	2.9 mi	1973	2BR	$28.35	88.9%	$500
Brookside Mixed-Use Center	4.8 mi	1996	1BR	$29.03	86.4%	$500
Brookside Mixed-Use Center	0.5 mi	2012	1BR	$27.01	88.7%	$500
Union Station District	2.0 mi	2021	Studio	$29.87	94.9%	None
Ashford Station District	4.0 mi	1995	2BR	$29.25	97.1%	1 mo. free
Driftwood Market Lofts	3.1 mi	1981	2BR	$30.10	95.1%	None
Eastlake Mixed-Use Center	3.5 mi	1974	Bay	$30.87	95.1%	$500
Raven Market Lofts	0.7 mi	2002	Bay	$28.97	96.7%	None
Foxglove Village	3.2 mi	2006	Studio	$30.52	88.7%	None
Tidewater Mixed-Use Center	2.8 mi	1983	Bay	$25.67	90.3%	None
Sable Village	4.0 mi	1977	Studio	$26.22	87.6%	None
Brookside Station District	2.3 mi	2023	2BR	$28.69	88.1%	1 mo. free
Whitaker Village	0.5 mi	2016	Unit	$27.81	95.7%	None
Indigo Market Lofts	3.7 mi	1991	Inline	$29.78	96.6%	$500
Lakeshore Station District	4.7 mi	1999	Unit	$31.93	88.6%	$500
Calloway Station District	1.3 mi	1970	1BR	$27.59	97.6%	None
Nautilus Station District	1.6 mi	2014	Unit	$30.27	90.1%	$500
Osprey Mixed-Use Center	3.2 mi	2021	Inline	$25.04	92.0%	$500
Whitaker Mixed-Use Center	1.8 mi	2018	Unit	$30.60	89.9%	None
Pinecrest Mixed-Use Center	3.6 mi	1989	Studio	$23.25	96.1%	None
Sable Village	1.2 mi	2016	Studio	$25.70	92.8%	None
Bluestone Mixed-Use Center	2.5 mi	1987	1BR	$29.75	96.8%	1 mo. free
Windmill Mixed-Use Center	4.3 mi	2013	1BR	$27.01	89.5%	$500
Ivy Station District	3.6 mi	1999	Studio	$30.69	93.5%	1 mo. free
Granite Village	3.0 mi	1986	2BR	$25.12	96.3%	$500
Verde Market Lofts	2.5 mi	2013	Bay	$28.97	94.8%	1 mo. free
Highland Village	3.5 mi	1987	Suite	$29.36	90.0%	1 mo. free

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Market Overview

Market vacancy for comparable Mixed-Use product stands at 11.1%, down from 7.4% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 5.41% and 5.41%. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Median household income within a 3-mile radius of the property is approximately $177,000 and has grown 6.1% annually. The Buffalo Mixed-Use market has experienced absorption of 4200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

The property is walkable to transit, with 34 structured parking spaces shared between uses. Employment growth is led by healthcare, logistics, education and professional services sectors. Northgate Station District is located in Buffalo, NY, a market that has recorded 9.1% population growth over the last five years. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The Buffalo Mixed-Use market has experienced absorption of 4600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 18.18 acres and is generally level with frontage along Maple Parkway. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 9 curb cuts and the property is served by municipal water and sanitary sewer.

The site contains approximately 18.18 acres and is generally level with frontage along Maple Parkway. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 24 curb cuts and the property is served by municipal water and sanitary sewer.

Supply and Demand

Median household income within a 2-mile radius of the property is approximately $265,000 and has grown 10.5% annually. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Investor demand for Mixed-Use assets in Buffalo remains strong with recent trades at capitalization rates between 5.96% and 5.96%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Mixed-Use product stands at 7.7%, down from 3.2% two years ago.

Topography and Flood Zone

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 38 curb cuts and the property is served by municipal water and sanitary sewer. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 30.30 acres and is generally level with frontage along Maple Parkway.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 40.40 acres and is generally level with frontage along Maple Parkway. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Demographics and Employment

Market vacancy for comparable Mixed-Use product stands at 9.8%, down from 7.0% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Northgate Station District is located in Buffalo, NY, a market that has recorded 10.1% population growth over the last five years. The Buffalo Mixed-Use market has experienced absorption of 3400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Northgate Station District and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on June 9, 2020.

_____

Chloe Lopez, CPG

Calloway & Reid Valuation Group

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